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County: los-angeles

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Case Number: 26STCV00328 Hearing Date: August 20, 2026 Dept: 730

Superior Court of
California

County of Los Angeles

Department
730

CYNTHIA
ARKLISS,

Plaintiff,

vs.

JOHN
STEWART COMPANY

Defendant.

Case No.:

26STCV00328

Hearing
Date:

August 20,

2026

[TENTATIVE]
ORDER GRANTING MOTION TO COMPEL
ARBITRATION

I. BACKGROUND

Plaintiff
Cynthia Arkliss (“Arkliss”) was allegedly denied accommodations for her PTSD and eventually wrongfully terminated from her employment with Defendant John Stewart Company (“JSC”). Arkliss sues JSC for six causes of action, including disability discrimination and wrongful termination.

On
April 8, 2026, JSC filed the instant motion to compel arbitration and stay litigation. Arkliss filed an opposition. JSC filed a reply. The Court called the motion for hearing and granted parties’ request for supplemental briefing. Both parties filed supplemental briefings.

II. OBJECTIONS

The
Court only addresses objections to newly submitted briefings.

A. Arkliss’s
Objections

The Court rules on
Arkliss's objections to JSC's evidence as follows:

1. All objections to the Martinez Decl. are
OVERRULED

2. All objections to the supplemental Choi Decl.
are SUSTAINED as the declaration lacks a signature.

3. The objection to the Williams Decl is
OVERRULED.

B. JSC's Objections

The Court overrules all of JSC's objections to Arkliss's evidence.

III. LEGAL STANDARD

Under both the Federal Arbitration Act and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.)¿The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties.¿(Code Civ. Proc. § 1281.2.) This is usually done by presenting a copy of the signed, written agreement to the court. "A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference." (Cal. Rules of Court, rule 3.1330.) The moving party must also establish the other party's refusal to arbitrate the controversy.¿(Code Civ. Proc. § 1281.2.) The filing of a lawsuit against the moving party for a controversy clearly within the scope of the arbitration agreement affirmatively establishes the other party's refusal to arbitrate the controversy. (Hyundai Amco America, Inc. v. S3H, Inc. (2014) 232 Cal.App.4th 572, 577.)

"Code of Civil Procedure section 1281.2 requires a trial court to grant a petition to compel arbitration 'if the court determines that an agreement to arbitrate the controversy exists.'"¿(Avery v. Integrated Healthcare Holdings, Inc. (2013) 218 Cal.App.4th 50, 59 (Avery) (quoting CCP § 1281.2).) Accordingly, "when presented with a petition to compel arbitration, the court's first task is to determine whether the parties have in fact agreed to arbitrate the dispute."¿ (Ibid.)¿A petition to compel arbitration is in essence a suit in equity to compel specific performance of a contract.¿ (Id. at 71.)¿As with any other specific performance claim, "a party seeking to enforce an arbitration agreement must show the agreement's terms are sufficiently definite to enable the court to know what it is to enforce." (Ibid. [internal citations omitted].)¿ "Only the valid and binding agreement of the parties, including all material terms well-defined and clearly expressed, may be ordered specifically performed.”¿(Ibid.) An arbitration agreement “must be so interpreted as to give effect to the mutual intention of the parties as it existed at the time of contracting, so far as the same is ascertainable and lawful.”¿(Civ. Code § 1636.)¿The language of the contract governs its interpretation if it is clear and explicit. (Civ. Code § 1368.) If uncertainty exists, “the language of a contract should be interpreted most strongly against the party who caused the uncertainty to exist.”¿(Civ. Code § 1654.)

The party seeking to compel arbitration bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 972.) It would then be plaintiff’s burden, in opposing the motion, to prove by a preponderance of the evidence any fact necessary to her opposition. (Ibid.) “In these summary proceedings the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination. (Ibid.)

IV. DISCUSSION

JSC argues this action is subject to arbitration as Arkliss entered into a valid arbitration agreement with JSC, agreeing to resolve any arising disputes via binding arbitration. For the Court to grant a motion to compel arbitration, the moving party must demonstrate the existence of a valid arbitration agreement and the other party’s refusal to arbitrate the controversy. (§ 1281.2.)

A. Existence of Arbitration Agreement

Here, JSC provides a copy of a prima facie valid arbitration agreement. Arkliss and JSC initially signed and executed an arbitration agreement on December 2, 2019. (Mot., Choi Decl. ¶ 16, Ex. E.) In 2023, JSC updated its employee handbook and arbitration agreement. (Id. at ¶ 12.) Pursuant to the update, Arkliss was provided with an updated arbitration agreement. (Id. at ¶ 15, Ex. C.) Arkliss signed the updated agreement utilizing her unique employee ID number and private password on December 29, 2023. (Id. at ¶ 15, Ex. D.)

The agreement, in pertinent part, provides as follows:

"

Except as it otherwise provides, this Agreement applies to any dispute arising out of or related to Employee’s (sometimes also referred to as “you” or “your”) application or selection for employment, employment, and/or termination of employment with John Stewart Company. [. . .] All disputes covered by this arbitration will be decided by a single arbitrator through final and binding arbitration and not by way of court or jury trial.

[T]his Agreement is intended to apply to the resolution of disputes that otherwise would be resolution of disputes that otherwise would be resolved in a court of law or before a forum other than arbitration, including without limitation, to disputes arising out of or relating to the . . . employment relationship, or the termination of that relationship. . .unfair competition. . . retaliation, discrimination. . . "
(Id. at ¶ 15, Ex. C.)

On February 9, 2026, parties met and confer to discuss arbitration. (Mot., Hooker Decl. ¶ 2.) Arkliss’s counsel stated Arkliss would not arbitrate unless JSC agreed to arbitrate with a provider other than New Era. (Id. at ¶ 3.) JSC offered to stipulate around New Era’s rules; Arkliss denied this offer and declined to stipulate to arbitration under the 2023 agreement. (Id. at ¶ 5.) JSC then offered to arbitrate under the 2019 agreement. (Ibid.) Arkliss’s counsel also refused to arbitrate under the 2019 agreement, as the 2023 agreement had a clause stating it was the only enforceable agreement applying to disputes. (Id. at ¶ 6.)

JSC has met its burden of demonstrating the existence of an arbitration agreement between parties and that this action is with the scope of the arbitration agreement. JSC has also demonstrated a refusal by Arkliss to arbitrate claims. As JSC has met its burden, the burden shifts to Arkliss to establish any defense, such as unconscionability. (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236.)

B. Unconscionability

Arkliss argues both arbitration agreements are unenforceable as they are procedurally and substantively unconscionable. Commonly formulated, unconscionability refers to the “absence of meaningful choice on the part of one of the parties together with the contract terms which are unreasonably favorable to the other party. [Citations.]” (Sonic-Calabasas A, Inc. v. Moreno (2013) 57 Cal.4th 1109, 1145.) Unconscionability has “both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results. (Sanchez v. Valencia Holding Company, LLC (2015) 61 Cal.4th 899, 910.) “But they need not be present in the same degree. . . . [T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114.)

1. Delegation
Clauses

Arkliss first argues the delegation clause of the arbitration agreement is both procedurally and substantively unconscionably.

The enforceability of an arbitration agreement is generally determined by the court. (See Aanderud v. Superior Court (2017) 13 Cal.App.5th 880, 891; Ajamian v. CantorCO2e, L.P. (2012) 203 Cal.App.4th 771, 781.) However, parties may agree to arbitrate gateway questions of arbitrability such as the enforceability of an arbitration agreement and whether claims are covered by the arbitration agreement. (See Rent-A-Center, West, Inc. v. Jackson (2010) 561 U.S. 63, 68-69; Aanderud, supra, 13 Cal.App.5th at pp. 891-892; Ajamian, supra, 203 Cal.App.4th at p. 781.) “To establish this exception, it must be shown by ‘clear and unmistakable’ evidence that the parties intended to delegate the issue to the arbitrator.” (Ajamian, supra, 203 Cal.App.4th at p. 781, citing First Options of Chicago, Inc. v. Kaplan (1995) 514 U.S. 938, 944.)

A “delegation clause must be viewed as a separate agreement nested within the arbitration agreement, and unless the clause is directly challenged, the arbitrator must resolve all of the disputed issues.” (Nielsen Contracting, Inc. v. Applied Underwriters, Inc. (2018) 22 Cal.App.5th 1096, 1109.) A delegation clause is enforceable unless it is revocable under the same defenses as any contract, such as fraud, duress, or unconscionability. (See, e.g., Tiri v. Lucky Chances, Inc.

(2014) 226 Cal.App.4th 231, 242.)

The delegation clause provides as follows:

"Additionally, except as this Agreement otherwise provides, the Arbitrator, and not any court, shall have exclusive authority to resolve any dispute relating to the interpretation, validity, applicability, enforceability, unconscionability or waiver of this agreement, including, but not limited to any claim that all or any part of this Agreement is void or voidable. However, the preceding sentence does not apply to the Class Action Waiver and/or Collective Action Waiver, the California Private Attorneys General Act (PAGA) Individual Action Requirement, below, or claims under the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021." (Mot., Choi Decl. ¶ 15, Ex. C.)

Here, Arkliss has clearly argued the delegation clause is unenforceable as it is revocable under the defense of unconscionability. The moving papers argue the clause is both procedurally and substantively unconscionable, both of which are required to establish unconscionability. Arkliss has met the threshold requirements for the Court to review the validity of the delegation clause. Therefore, the Court reviews the motion in total to establish unconscionability as to both the delegation clause and entire arbitration agreement.

2. Procedural Unconscionability

"Procedural unconscionability pertains to the making of the agreement and requires oppression or surprise. [Citations.] ' " 'Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form.' " ' " [Citation]" '[T]here are degrees of procedural unconscionability. At one end of the spectrum are contracts that have been freely negotiated by roughly equal parties, in which there is no procedural unconscionability.... Contracts of adhesion that involve surprise or other sharp practices lie on the other end of the spectrum.' " [Citation]." (Hasty v. American Automobile Assn. etc. (2023) 98 Cal.App.5th 1041, 1055.)

i. Adhesion

Arkliss first argues both arbitration agreements (and associated delegation clauses) are procedurally unconscionable as the agreements were presented on a 'take it or leave it basis'. Generally speaking, if a court finds the subject contract is a contract of adhesion, the court also finds the contract procedurally unconscionable. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 113.) "An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power 'on a take-it-or-leave-it basis.' " (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 126.)

Arkliss argues both agreements were standardized contracts, presented to Arkliss as mandatory conditions of her employment by her employer, a party with superior bargaining power. Courts have generally held stock pre-employment arbitration contracts are contracts of adhesion, and therefore procedurally unconscionable, as employers have greater bargaining power due to economic pressure exerted by employers on "all but the most sought-after employees," as "few employees are in a position to refuse a job because of an arbitration requirement." (Armendariz, supra at 24 Cal. 4th at pg. 115.) Although neither of the arbitration agreements in question were pre-employment contracts, Arkliss argues both contracts were presented as mandatory conditions of her employment. Said situation warrants the same analysis as that in Armendariz, as the party with superior bargaining power presented a stock arbitration agreement Arkliss had no choice but to sign in order to maintain her job and income.

In response, JSC only argues that an arbitration agreement being established as a contract of adhesion, alone, is insufficient to demonstrate procedural unconscionability. While it is true procedural unconscionability takes into account all factors, contracts of adhesion lie on the side of the spectrum tending towards procedural unconscionability.

ii. Time to Review

Arkliss next argues Arkliss was misled as to the content of the 2019 agreement and not provided ample opportunity to review the subject documents. Arkliss's regional manager, Herietta Rice ("Rice"), presented Arkliss with a stack of documents to be signed immediately; when Arkliss inquired as to what she was signing, Rice allegedly told Arkliss 'not to worry about it' and represented the documents were routine paperwork. (Opp., Arkliss Decl. ¶¶ 3-5.) When Arkliss asked if she could review the documents prior to signing, Rice informed Arkliss she needed to sign the paperwork immediately and appeared to be frustrated. (Id. at ¶ 5.) Arkliss signed the documents immediately to not put her job in jeopardy. (Ibid.)

JSC asserts that Arkliss was given proper time to review the initial arbitration agreement prior to signing. On November 18, 2019, JSC's COO issued a company-wide announcement regarding the rollout of the 2019 arbitration agreement. (Supp. Mot., Martinez Decl. ¶ 4, Ex. B.) Employees were supposed to receive the arbitration agreement via mail sent to their homes, and to contact HR if they had any questions. (Ibid.) Arkliss was given until December 12, 2019, to return the executed agreement; she executed the agreement 10 days before this deadline and submitted it to a different HR representative—not Rice, as Arkliss claimed. (Id. at ¶¶ 4, 7.) Furthermore, records indicate Rice was neither responsible for collecting employee arbitration agreements, nor in the office on the day of the incident.

Arkliss provides no evidence to dispute JSC's evidence as to the sequence of events, only stating that JSC's evidence differs from Arkliss's recollection of events. (Supp. Opp., pg. 3 ¶¶ 17-19.) Arkliss explicitly states she does not dispute JSC's evidence for purposes of this motion.

Velarde v. Monroe Operations, LLC (2025) 111 Cal.App.5th 1009, is instructive here. In Velarde, the court found the plaintiff was denied time to review the subject arbitration agreement, when the employing defendant presented her the agreement, alongside 30 other documents, to review and sign while its HR manager stood and waited. (Id. at 1015.) The Velarde court specifically noted the arbitration agreement referenced various statutes and associations a lay person would likely be unfamiliar with; by depriving the lay plaintiff time to reflect and research, the employing defendant denied the plaintiff the opportunity to understand the terms of the agreement. (Ibid.) Furthermore, the Velarde court held the defendant's misrepresentation of employment terms also demonstrated procedural unconscionability. (Id. at 1015-1016.) Intent to mislead was irrelevant; misrepresentation of the terms following the plaintiff's admittance of not understanding the agreement clearly demonstrated a lack of voluntary or informed consent to the terms. (Ibid.)

Here,
the evidence demonstrates JSC did not unduly deny Arkliss time to review the initial arbitration agreement (or the subsequent agreement, which JSC similarly provided multiple weeks to review). (Supp. Mot., Choi Decl. ¶ 5.) Arkliss was not pressured into signing the arbitration agreement in any meaningful matter beyond this being a contract of adhesion between employer and employee. This cuts against finding procedural unconscionability.

iii. Arbitration Rules

Arkliss
finally argues the proposed arbitration rules, which Arkliss was not provided prior to signing the agreements, create a substantial degree of surprise and oppression. Failure to attach a copy of the arbitration rules may indicate procedural unconscionability when the rules allegedly hid essential terms through obfuscation or legal language. (Nguyen v. Applied Med. Resources Corp. (2016) 4 Cal.App.5th 232, 248-249; OTO, surpra 8 Cal.5th at 126-128.)

The
facts demonstrate Arkliss was never provided with a copy of the rules. Here, the arbitration agreement stated arbitration will be administered pursuant to the New Era Arbitration Rules and Procedures, to be made available via Human Resources or via the internet, with a link provided. (Mot., Choi Decl. ¶ 15, Ex. C.) The rules were not attached to either arbitration agreement, although Arkliss did have the opportunity to review the rules via HR request or the provided link prior to signing the agreements.

Arkliss argues the New Era rules differ
significant from those of traditional arbitrators, and names numerous limitations as to briefing and discovery. However, these are not issues of procedural unconscionability, as Arkliss is not arguing any of these terms were obfuscated. This is an issue for substantive unconscionability.

In total, the Court finds the evidence
demonstrates both agreements are slightly procedurally unconscionable as they are contracts of adhesion. As Arkliss has shown each agreement is, at least, in part procedurally unconscionable, the Court reviews the substantive unconscionability of each agreement.

3. Substantive

Unconscionability

“ ‘Substantive unconscionability examines the fairness of a contract's terms.’ [Citation] The substantive element of the unconscionability analysis “looks to the actual terms of the parties’ agreement to ‘ensure[ ] that contracts, particularly contracts of adhesion, do not impose terms that have been variously described as “ ‘ “overly harsh” ’ ” [citation], “ ‘unduly oppressive’ ” [citation], “ ‘so one-sided as to “shock the conscience” ’ ” [citation], or “unfairly one-sided.” ’ [Citation.] These formulations ‘all mean the same thing.’ [Citation.] Substantive unconscionability ‘ “is concerned not with ‘a simple old-fashioned bad bargain’ [citation], but with terms that are ‘unreasonably favorable to the more powerful party.’ ” ’ [Citation.] ‘The substantive component of unconscionability looks to whether the contract allocates the risks of the bargain in an objectively unreasonable or unexpected manner.’ [Citation.] While private arbitration may resolve disputes faster and cheaper than judicial proceedings, it ‘ “may also become an instrument of injustice imposed on a ‘take it or leave it’ basis.” ’ [Citation.] ‘ “The courts must distinguish the former from the latter, to ensure that private arbitration systems resolve disputes not only with speed and economy but also with fairness.” ’ ” (Hasty, supra 98 Cal.App.5th at 1058-1059.)

i. Mutuality

Arkliss first argues the arbitration agreement is substantively unconscionable because it lacks mutuality. “When only the weaker party's claims are subject to arbitration, and there is no reasonable justification for that lack of symmetry, the agreement lacks the requisite degree of mutuality.” (Id. at 1059.) Arkliss specifically argues that, pursuant to the agreements’ terms, Arkliss may only pursue arbitration against JSC, as a company. However, JSC, JSC’s officers, directors, members, shareholders, members, owners, employee, agents, benefit plans, fiduciaries, successors, assigns, etc. may pursue arbitration against Arkliss.

The agreement provides it applies to “[a]ny dispute arising out of or related to [Arkliss’s] application or selection for employment, employment and/or termination of employment with [JSC] or one of its affiliates, subsidiaries or parent companies.” (Mot., Choi Decl. ¶

15, Ex. C.) It also applies to “[a]ny dispute, past, present or future, that [JSC] has against [Arkliss] or [Arkliss] may have against any of the...” above identified entities and individuals. (Mot., Choi Decl. ¶ 15, Ex. C.) “Each and all of the entities or individual listed [above] can enforce this Agreement.” (Ibid.) Arkliss argues that, pursuant to this language, an officer could enforce the arbitration agreement against Arkliss, but Arkliss could not enforce the arbitration agreement against the officer.

The Court disagrees with this interpretation. The agreement explicitly provides Arkliss is entitled to arbitrate any dispute against JSC’s officers, so long as it is in connection with Arkliss’s employment or termination. Furthermore, lack of mutuality between JSC’s agents or employees and Arkliss does not demonstrate a lack of mutuality between Arkliss and JSC. (See Ayala-Ventura v. Superior Court (2026) 119 Cal.App.5th 241, 259: “We are not convinced the Agreement’s purported failure to require CCS’s employees and agents to arbitrate their claims against Ayala-Ventura results in lack of mutuality between the contracting parties. The Agreement is between CCS and Ayala-Ventura; it is not between her and CCS’s employees and agents.”) There is no evidence of lack of mutuality demonstrating substantive unconscionability.

ii. Time to Investigate / Conduct Discovery

Arkliss next argues New Era’s discovery limitations demonstrate substantive unconscionability, as it provides insufficient time to investigate and vindicate a plaintiff’s claims. Substantive unconscionability may be demonstrated by demonstrating arbitration rules’ failure to provide opportunity to conduct discovery sufficient to adequately arbitrate a plaintiff’s claims. (Fitz v. NCR Corp. (2004) 118 Cal. App. 4th 702, 719.)

New Era offers Expedited Arbitration and Standard Arbitration; if parties are unable to agree upon the type, the default form is Expedited Arbitration. (Opp., Agadzhanov Dec., ¶ 2, Ex. A, New Era Rule 1(b)(i)(3) [The Court takes judicial notice of the requested document pursuant to Evidence Code § 452.]) Under Expedited Arbitration, the entire process is expected to conclude within 45 to 60 days of the appointment of the Neutral Arbitrator; both parties must upload all documents within 14 days of appointment. (Id., Rules 1(b)(iii) and 5(vii)(2).) Following this exchange, there is no right to discovery; all discovery is subject to the Neutral’s discretion. (Id. at

Rules 2(o)(iii).) Standard Arbitration is intended to conclude in 100 days from assignment. (Id. at Rules 1(b)(ii).) If the arbitrator allows a party to conduct discovery outside of document exchange, a party has only four days to submit a maximum of ten requests for production and twenty search terms. (Id. at Rules 5(ix)(2).) Parties only have 4 days to object. (Id. at Rules 5(ix)(3).) Depositions are only allowed under Standard Arbitration procedure, and only upon a showing of "adequate justification." (Id. at Rules 5(ix)(8).) In total, the discovery timeline is 50 days. (Ibid.)

The 2023 agreement specifically states discovery will comply with the New Era Rules, but then lists numerous other rights not granted within the New Era Rules. (Mot., Choi Decl. ¶ 15, Ex. C.) These discovery rights are not identified as exceptions or additions to the New Era Rules. This conflicts with the style of the rest of the agreement, which specifies additional or exceptions in the text, flagged by statements such as "regardless...of the New Era Rules..." or "but in no event..." (Ibid.) Even assuming these rights were intended to supplement the New Era Rules, no additional time to complete discovery is provided.

The significant limitations on discovery raise concerns. The general inavailability of any depositions under the default expedited rules is a substantial limitation to a plaintiff's employment law case. (Murrey v. Superior Ct. (2023) 87 Cal.App.5th 1223, 1249 ["Employment disputes are factually complex, and their outcomes 'are often determined by the testimony of multiple percipient witnesses, as well as written information about the disputed employment practice.' [Citation.] Seemingly neutral limitations on discovery in employment disputes may be nonmutual in effect."]; see generally Heckman v. Live Nation Ent., Inc. (C.D. Cal. 2023) 686 F. Supp. 3d 939, 963 aff'd. (9th Cir. 2024) 120 F.4th 670 ["More problematic is the fact that the Rules governing expedited arbitrations … provide for no formal process of discovery as a right."].) And the ability of the arbitrator to allow additional discovery does not fully balance the process. (Murrey, supra, at p. 1250.) The discovery limitations support a finding of slight substantive unconscionability.

iii. Evidentiary Code

Arkliss next argues the New Era rules violate Evidence Code section 915, prohibiting in-camera review of document protected by attorney-client privilege and attorney-work product.

Arkliss argues because the New Era Rules do not specify the right of a party to withhold potentially privilege documents pursuant to a privilege log, all parties are forced to submit privileged documents.

The Court finds this argument is without merit. Absent agreement between parties, arbitration need not abide by all of California's statutes or rules, including the Evidence Code. There is no evidence or analysis to suggest this lack of acknowledgement is indicative of substantive unconscionability.

iv. Confidentiality

Arkliss next argues New Era's confidentiality provision is indicative of substantive unconscionability. A confidentiality provision in an arbitration agreement is not per se unconscionable when based on a legitimate commercial need, such as to protect trade secrets or proprietary information. (Hasty, supra 98 Cal.App.5th at 1061-1062.) The New Era rules state confidentiality shall be maintained except where disclosure is required by law or as deemed necessary for a judicial challenge to the result. (Opp., Agadzhanov Dec., ¶ 2, Ex. A, New Era Rule 2(c)(i).) "[A]ll communications and evidence will remain confidential and no party will take any action that would reasonably be expected to lead to unwanted or unfavorable publicity to any other party. This provision does not apply to facts or information gathered outside of the proceeding." (Id. at Rule 2(c)(ii).)

JSC initially argues Arkliss misinterprets the New Era rules as a 'blanket confidentiality requirement,' but provides no further analysis of the confidentiality agreement. A confidentiality agreement need not be a 'blanket' agreement to be indicative of unconscionability; for example, in Murrey v. Superior Court (2023) 87 Cal.App.5th 1223, 1254, the court found a confidentiality provision as to publication of the arbitration award was substantively unconscionable because it served no purpose other than to benefit the employer, as it disallowed future employees from taking advantage of findings in past arbitrations. The Murrey court specifically noted that the plaintiff was forced to agree she would not publish or disseminate the arbitration award. (Ibid.)

In JSC's supplemental brief, JSC asserts New Era's confidentiality provision does not prohibit reporting discrimination to agencies or participating in government provisions, does "not prevent employees from discussing workplace facts learned outside the arbitration," and does "not impose the type of award-specific secrecy provision that concerned the Murrey court." (Supp. Mot., pg. 14 ¶¶ 8-11.) While communications and evidence remain confidential, it is true the general facts and arbitration awards are free for dissemination, indicating it does not unduly prejudice future employees from taking advantage of past arbitrations. It also does not apply to facts or information gathered outside the proceeding; therefore, Arkliss is entitled to discuss her experiences without caveat. Based upon this additional information, the Court finds the facts here are not analogous to those in Murrey.

The confidentiality agreement is mutually binding and does not unduly prejudice Arkliss or other employees from investigating or bringing claims against JSC. The confidentiality agreement is not indicative of substantive unconscionability.

v. PAGA Agreement

Arkliss then argues the agreements are substantively unconscionable because both agreements require PAGA claims to be arbitrated on an individual basis only. Pursuant to Stoker v. Blue Origina, LLC (2026) 120 Cal.App.5th 91, 111-112, categorical waiver of the right to bring a PAGA Action is unenforceable and substantively unconscionable. This is relevant to determining unconscionability even if no PAGA claims are asserted: "We note that for purposes of an unconscionability analysis, it is irrelevant that Stoker did not assert any PAGA claims. " 'In determining unconscionability, our inquiry is into whether a contract provision was "unconscionable at the time it was made." ' [Citation.]" (Id. at 112, fn. 6.)

The 2023 agreement specifically states "[JSC] and [Arkliss] agree to arbitrate PAGA claims on an individual basis only. Therefore, any claim by [Arkliss] under PAGA to recover civil penalties or other individual relief must be arbitrated under this Agreement." (Mot., Choi Decl. ¶ 15, Ex. C.)
The 2019 agreement has a similar provision, as the only PAGA action not covered is representative actions. (Mot., Choi Decl. ¶ 16, Ex. E.) Both agreements waive the right to bring a certain category of PAGA claims, making them facially substantively unconscionable.

However, the Court is

entitled to sever this portion of the arbitration agreement as it is unrelated to the contract's main purpose. "[C]ourts may liberally sever any unconscionable portion of a contract and enforce the rest when: the illegality is collateral to the contract's main purpose; it is possible to cure the illegality by means of severance; and enforcing the balance of the contract would be in the interest of justice." (Ramirez v. Charter Commc'ns, Inc. (2024) 16 Cal.5th 478, 517.) Here, the only aspect of the contract the Court has found to be substantiavely unconscionable, the PAGA provision, is irrelevant to Arkliss's complaint, as she has brought no PAGA claim. This is easily severable, and in the interests of justice as this agreement is not otherwise substantially substantively unconscionable.

Therefore, the Court strikes the PAGA provisions of both arbitration agreements. Neither agreement is more than slightly substantively unconscionable. As both the substantive and procedural unconscionability is only slight, neither agreement is unconscionable, in full, and therefore neither agreement is unenforceable. The arbitration agreements are binding. As the 2023 agreement was signed after the 2019 agreement, the 2023 arbitration agreement controls.

V. CONCLUSION

JSC's Motion to Compel Arbitration is GRANTED. This action is STAYED pending the outcome of arbitration.

JSC is ordered to give notice.

DATED:
August 20, 2026

____

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

• Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

• If a party intends to submit on this tentative ruling, the party must send an email to the court at with the Subject line “SUBMIT” followed by the case number. The body of the email must include the hearing date and time, counsel’s contact information, and the identity of the party submitting.

• Unless all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

• If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.